# Lecture 3: Budgeting and Saving

MNY101 Money Basics

Sample course for trying Smazy

# What a budget is

- A plan for money coming in and money going out
- Income: wages, allowance, scholarships
- Expenses: rent, food, transport, phone, fun

# The 50 / 30 / 20 guide

- 50% for needs: rent, food, transport
- 30% for wants: eating out, hobbies, subscriptions
- 20% for saving and paying off debt
  - It is a starting point, not a law

# An emergency fund

- Savings kept for unexpected costs
- A common goal is three to six months of expenses
- Keep it somewhere safe and easy to reach

# Saving early matters

- Compound interest from Lecture 2 rewards time
  - 1,000 saved at age 20 at 6% is about 10,286 at age 60
  - 1,000 saved at age 40 at 6% is about 3,207 at age 60
- Starting 20 years earlier roughly triples the result

# Your course project

- Build a one-month budget for a student and explain your choices
- Use the budget example spreadsheet as a template
- Check the project guidelines and the rubric before you start